

Types of Leasehold Estates

A tenant's right to occupy realty is known as a **leasehold estate**. Leasehold estates are created by a contract between the owner of the real estate (known as the **lessor**) and a tenant (known as the **lessee**). The terms of the contract transfers to the tenant the right to possession and use of the owner's property, usually for a specified period of time.

Also established in the lease contract are the period of time the lease covers, the amount the tenant will pay for the right to use the property, and the rights and obligations of both parties.

Remember that a leasehold is a nonfreehold estate. This differs from a freehold estate in that a nonfreehold (leasehold) estate conveys possession and control, whereas a freehold estate conveys possession, control, and title (ownership). Possession is the right to use the property: to live or work there. Control is the right to determine how the property is used and who may enter the property.

Types of leasehold estates include:

- **Estate for years:** This is a leasehold of definite duration that terminates automatically and is inheritable, meaning that if either party to the lease (usually the owner or the tenant) dies, the lease is not automatically terminated. "Estate for years" is a bit of a misnomer—it simply means definite duration, and can be for any length of time, even days or weeks.

Example: Lisa has a notions shop in a commercial building. Her lease, which is in writing, is for three years. If Lisa or the building owner dies, the terms of the lease survive. At the end of three years, the parties may negotiate new terms, or Lisa may vacate.

- **Periodic estate:** This leasehold estate is periodic (e.g., six months), with a written agreement that automatically renews itself for successive tenancy unless one party terminates. This is also an inheritable leasehold estate. The period involved may be any negotiated period of time. Some states may refer to this as "Estate from Period to Period"

Example: Fred has a barber shop in a commercial building. He has a one-year lease that automatically renews unless either Fred or the landlord terminates. His lease is inheritable. If Fred or the owner dies, the lease is still in effect through its current period.

- **Month-to-month tenancy:** Tenants who pay rent on a monthly basis are often called month-to-month tenants, and this is a form of a periodic estate. They may have a lease agreement, but the lease will specify the month-to-month arrangement. Month-to-month tenancy can also be created if a tenant under a lease stays beyond the lease's terms, and the landlord continues to accept rent from that tenant according to the real property law. Either party may terminate a month-to-month tenancy agreement by giving one month's notice, or other notice according to the terms of the lease.

Example: Julie is renting space in Brenda's building for her art studio. She signs a month-to-month lease because she doesn't know if she has what it takes to be a thriving artist and doesn't want to commit to a longer lease. Brenda is willing to have a month-to-month tenant because the space is hard to rent. If either decides the arrangement is no longer working, she can give appropriate notice to the other party, and the lease will terminate.

- **Estate at will:** This leasehold estate may be terminated at will by either party and is not inheritable. At the death of either party to the lease, the leasehold normally terminates.

Example: Josephine is leasing a parking lot between her shop and the store next door. The owner hasn't decided yet whether to keep the parking lot or sell it, so he signs an estate at will lease with Josephine. Either Josephine or the owner may terminate with notice. If either Josephine or the owner die, the lease terminates.

- **Tenancy at sufferance:** This type of estate is one in which a tenant continues to occupy property after lawful authority has expired. The tenant is known as a holdover tenant. If a tenant under a lease stays beyond the lease's terms, and the landlord continues to accept rent from that tenant, that tenant becomes a month-to-month tenant according to the real property law. Alternatively, the landlord may remove the tenant by initiating a holdover proceeding, which is used to evict a tenant on any grounds other than the nonpayment of rent, such as staying beyond the term of the lease or violating terms of a lease or rent laws.

Example: Bill and Ted own an adventure gear store and have leased space in Martin's building. Their lease expired a month ago, and Martin wants them out because he has another tenant who will pay twice what Bill and Ted are paying. Although Bill and Ted sent their usual rent to Martin, he did not deposit their checks. Instead he returned them and threatened holdover proceedings if they did not vacate immediately.